

Power Finance Corporation Ltd

PFC

26.2%
ROE

3.5%
ROCE

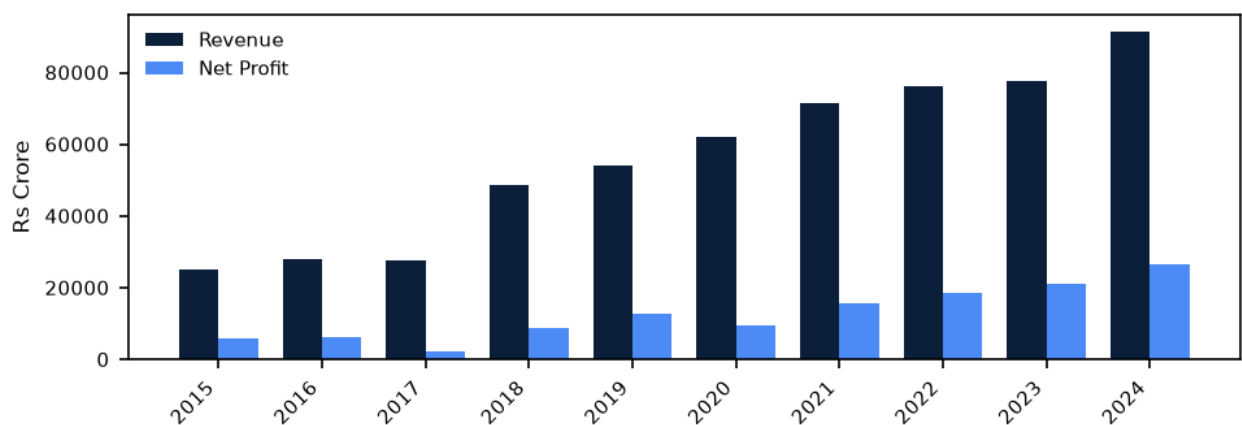
8.5x
D/E

36.7%
OPM

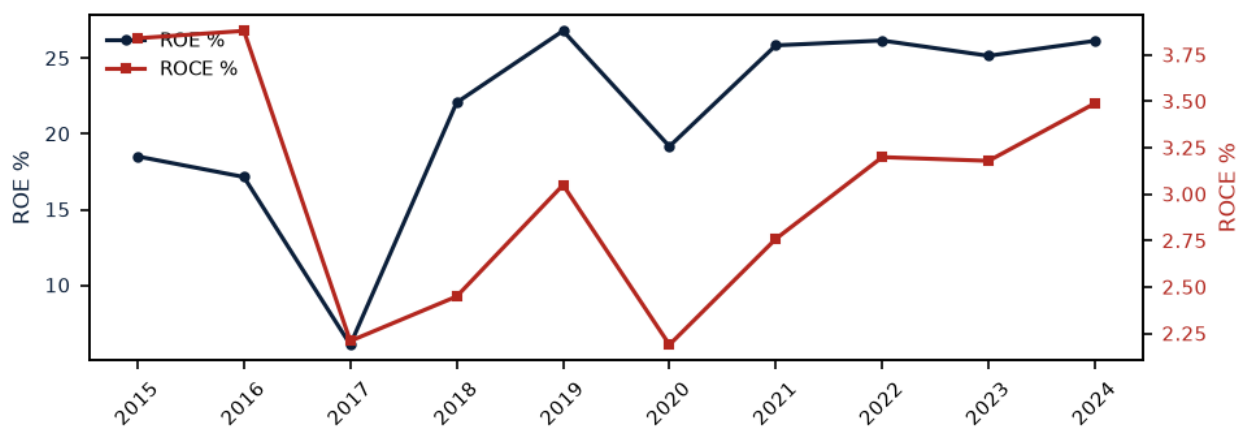
11.1%
Revenue CAGR 5yr

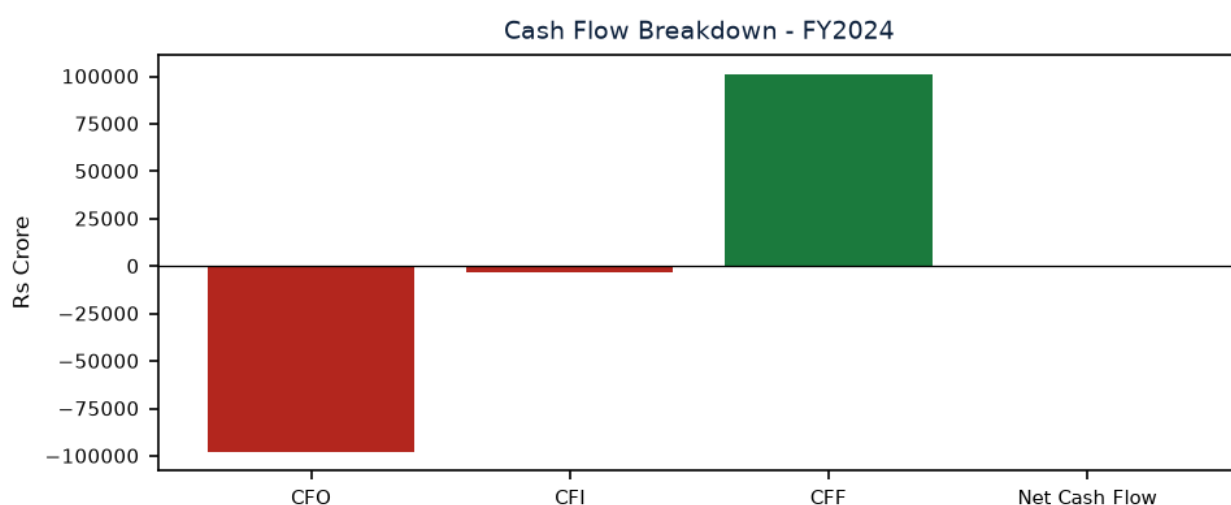
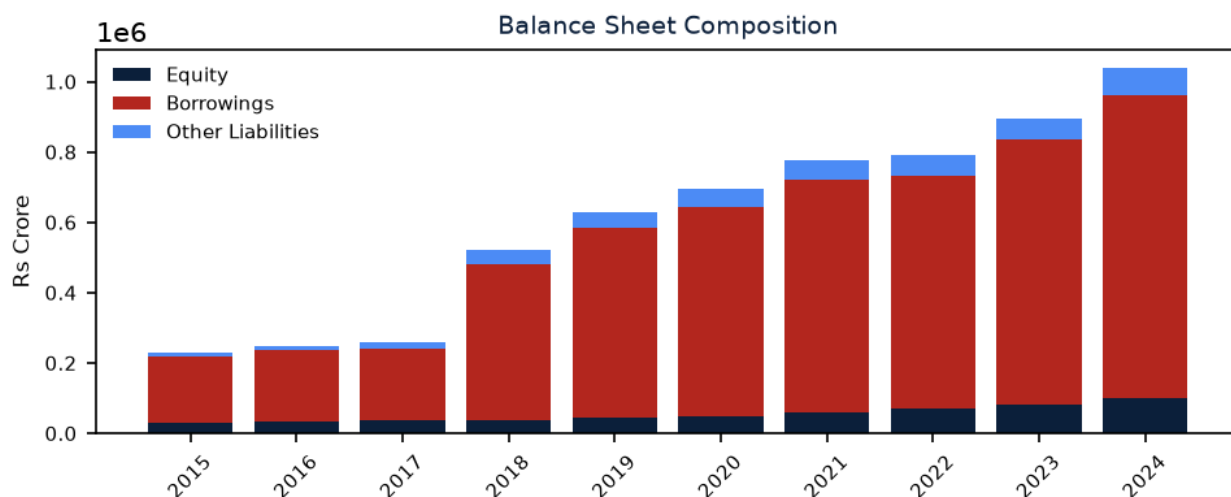
15.9%
PAT CAGR 5yr

10-Year Revenue vs Net Profit



ROE vs ROCE Trend





Pros

- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Revenue growing slower than profits shows improving operating leverage and scale benefits
- + Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern

Growth Funded by Debt